

Dry Bulk Shipping

Bi-Weekly Industry Report

June 23, 2026

- Capesize Rates Remain Seasonally Strong Despite Recent Drop** – The dry bulk market continues to demonstrate seasonal resilience, characterized by highly profitable freight rates and a positive outlook equally supported by a strong freight futures curve. While the **Pacific basin has experienced some anticipated softening** identified in our previous report, robust Atlantic fixtures remain the cornerstone of the current market upcycle, with steady fixing activity projected to continue. On the commodity front, **iron ore volumes continue to outperform expectations**, and West African **bauxite exports have achieved double-digit year-over-year growth**; conversely, coal volumes represent a localized weakness due to declining Chinese imports. This overall bullish trajectory is expected to persist through the second half of the year. Although potential risks exist, such as rumored government interventions in bauxite exports affecting Atlantic vessel supply, or high iron ore inventories amid a soft steel market eventually dampening import demand, there is currently **no definitive evidence that these bearish scenarios will materialize**. Consequently, near-term market expectations remain highly optimistic, corroborated by a firm freight futures curve and a robust secondhand vessel market across all asset classes.
- Some Ugly Economic Numbers out of China** – While global attention naturally remains fixed on Middle East tensions, China's latest economic data underscores a prolonged, **sluggish recovery** as both retail sales and fixed-asset investments fell below expectations due to the persistent real estate slump. Although a 17% surge in May exports, driven largely by **electric vehicles and solar products**, continues to anchor the economy, this trade strength masks severe domestic weakness in the property market. Because the **real estate sector** is the primary catalyst for domestic steel demand, its ongoing contraction directly could affect iron ore imports, ultimately creating a challenging outlook for the dry bulk shipping sector in the coming years. Combined that with increasing use of scrap steel and electric furnace use, iron ore imports would **need a substantial revival** in residential property demand in the coming years to **maintain momentum**.
- Our Long-term View** – The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and rather steady fleet growth.

Short-term Indicators

Momentum: **Negative**

Sentiment: **Neutral**

Fundamentals: **Neutral**

Breakwave Dry Futures Index: 2546

30D: -8.2% ↓

YTD: 65.7% ↑

YOY: 71.6% ↑

Baltic Dry Index (spot): 2684

30D: -10.3% ↓

YTD: 43.0% ↑

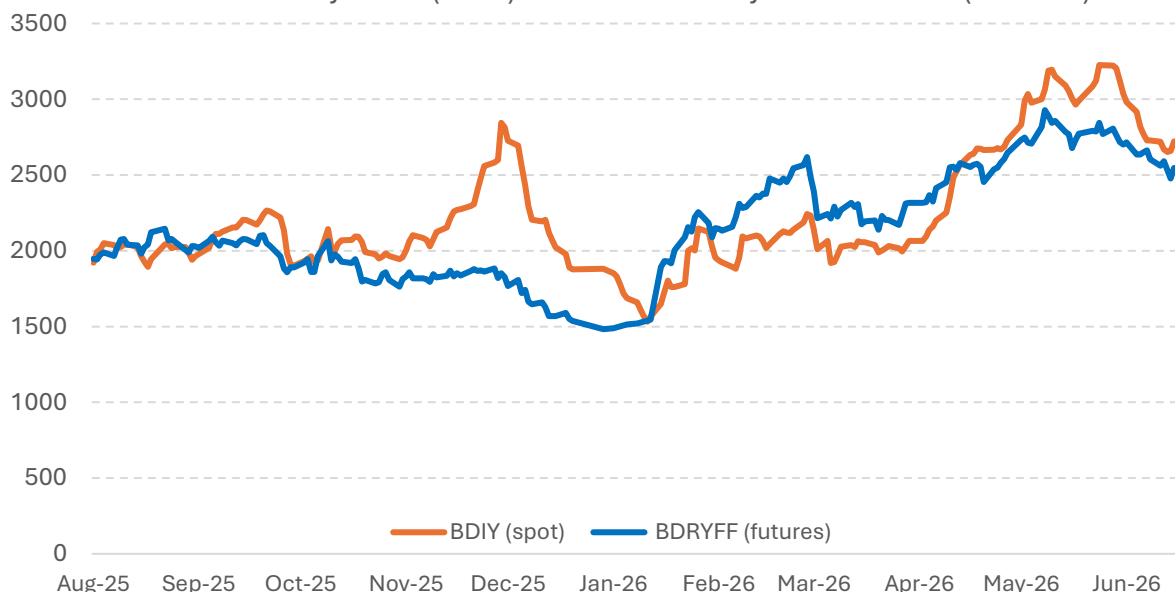
YOY: 58.9% ↑

Reuters:
Bloomberg:
Exchange:

BDRY.K
BDRY US
NYSE

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Baltic Dry Index (BDIY) vs Breakwave Dry Futures Index (BDRYFF)



The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	416mt	-3.7%
China Steel Inventories	4.7mt	23.4%
China Iron Ore Inventories	159mt	17.9%
China Iron Ore Imports	1777mt	3.0%
China Coal Imports	673mt	-8.0%
China Soybean Imports	149mt	4.6%
Brazil Iron Ore Exports	563mt	4.8%
Australia Iron Ore Exports	1228mt	2.9%

Supply

Dry Bulk Fleet	1085 mdwt	3.4%
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Freight Rates

Baltic Dry Index, Average	2,336	83.3%
Capesize Spot Rates, Average	29,439	89.4%
Panamax Spot rates, Average	17,201	62.5%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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